

WING pitch deck

PITCH DECK — WING (from completed adversarial court, both benches filed)

The court below reached agreement — red recommended rejection, blue sustained it — so this deck proposes no position and documents the reopen conditions. Deck follows; the machine fence at the end encodes the gates for auto-arming.

PITCH — WING — PROPOSED VERDICT: REJECT — NO ENTRY, WATCH FILE WITH DEFINED REOPEN TRIGGERS (PROPOSED — PENDING ADJUDICATION)

What we believe

Wingstop is a franchise royalty business — nearly all of its ~2,700+ restaurants are owned by franchisees who pay it a percentage of sales — whose stock has fallen 68% from its high of \$345.81 to \$111.36, within 1% of its 52-week low. The original bull idea was that this selloff overshoots: that full-year guidance (same-store sales down 4% to 6%) was achievable without any recovery, and that the sales trend was already improving.

After the court, we believe the opposite on both counts:

1. **The sales trend is getting worse, not better.** Measured on a two-year basis (this year's decline stacked on last year's comparison, which removes easy-versus-hard base effects), domestic same-store sales went from -8.2 in Q1 to -9.4 in Q2 — a 1.2-point deterioration per quarter. The thesis had claimed a 1.2-point *improvement*; it had derived last year's quarterly numbers by splitting the half-year evenly, and the real split (Q1-25 +0.5%, Q2-25 -1.9%, per the company's own press releases) flips the sign.
2. **Guidance has no cushion.** If the trend merely stops deteriorating — freezes exactly where Q2 left it — the full year lands at about -5.9%, the absolute floor of the -4% to -6% guide. If the 1.2-point-per-quarter slide continues, the year lands near -6.8%: a miss, and a third guidance cut in roughly nine months (two cuts have already happened in six).
3. **The balance sheet makes this a levered bet.** Net debt is about \$1.08 billion (long-term debt \$1,210.6M less cash \$127.5M per the Q2 press release), roughly 4.1x annualized adjusted EBITDA, financed through a securitization of essentially the whole business. At \$111.36 the enterprise trades near 15.5x that EBITDA — a full multiple for a business whose core metric is shrinking.
4. **The franchisee pain is ahead, not behind.** Average unit volumes are down ~10% to \$1.893M, but closures in Q2 were just 1 domestic and 3 international — franchisees have not capitulated yet. The store pipeline being opened today was signed in 2024-25 at better assumed economics; the supply response to today's volumes lags.

What the market believes

The market is pricing a third guidance cut as the base case. The stock sits 0.8% off its 52-week low in a live downtrend, with roughly 60 trading days until the next earnings report (~November 3, unconfirmed) and no scheduled positive catalyst before it. About 30 sell-side analysts cover the name — this is not an overlooked or under-followed situation where we could plausibly know something the market hasn't processed. The market's read — the deterioration *is* the trend — is, on the evidence the court assembled, simply correct right now.

Why we might have edge

Stated honestly, these survived the court only as watch items, not as reasons to buy today:

- **Company-owned stores tell a much better story.** The ~51 restaurants Wingstop runs itself faced *harder* year-ago comparisons (+1.4% and +3.6%) yet declined far less — their two-year stacks are -0.8 and +1.1, versus -8.2 and -9.4 for franchised stores. That 9–10 point gap is real, not a base-effect artifact (the blue bench checked). It suggests the brand itself may not be broken. Weight it lightly: 51 stores, geography undisclosed.
- **The headline volume decline overstates mature-store erosion.** With units growing 16–19% a year, a large share of the store base is young stores still ramping toward full volume, which mechanically drags the average down. Mature stores are eroding less than the -10.4% headline implies.
- **A third cut would hurt sentiment more than earnings.** Because revenue is a royalty on sales, guidance moving from -5% to -7% changes royalty revenue only ~1–2%. The November risk is to the multiple, not to earnings power — which bounds the fundamental (not the price) downside of a miss.

Why it might be priced in

The stronger case is that there is no mispricing at all. The bull thesis's two load-bearing claims — improving trend, guidance with headroom — were both refuted on primary data. For guidance to hold even at its floor, the deterioration must stop cold *this quarter*, after two cuts in six months; hitting the midpoint requires ~1.8 points of improvement. The buyback flatters per-share figures (diluted shares down 7.5% year over year, debt-funded), so per-share growth overstates the business. New franchisees now underwrite openings at \$1.893M volumes, which threatens conversion of the 2027 development pipeline — the unit-growth engine that carries the multiple. And with the mechanical mix effect noted above cutting both ways: the same young-store math that softens the mature-store read means reported volumes keep falling as long as growth continues. At 15.5x levered EV/EBITDA, 0.8% off the low, none of this is a bargain price for a stabilization that hasn't started.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Two-year sales trend improved ~1.2pp Q1→Q2” (thesis)	Company press releases for Q1-25 and Q2-25 ; re-fetched independently by both benches	Actual bases +0.5% / -1.9%; stacks -8.2 → -9.4, a 1.2pp deterioration . Our own thesis erred : it derived last year’s split evenly from the half-year total instead of citing the quarters — the error flipped the sign of the momentum claim	REFUTED (fatal)
“Flat trend lands FY ≈ -5.1%, inside guide” (thesis)	Recomputed both benches on confirmed bases; guide language from the Q2-26 release	Flat exit stack → FY ≈ -5.9% (guide floor, zero slippage allowed); trend-continuation → ≈ -6.8% (miss). Cross-check vs. FY-25 actual (-3.3%) reconciled	REFUTED (fatal)
~16x EV/EBITDA valuation	Q2-26 balance sheet (the brief had pulled no capital structure — a known failure mode we now check for)	~15.5x confirmed, but levered : net debt ~\$1.08B ≈ 4.1x EBITDA, whole-business securitization	CONFIRMED, with leverage caveat
“16.9% earnings growth is buyback engineering” (red bench)	Blue bench re-check of the press-release figures	Red bench erred/overreached : the +16.9% was <i>dollar</i> net income, which buybacks don’t inflate — it grew through the buyback’s added interest cost. Buyback flattery applies to per-share figures only (shares -7.5%)	REDUCED — leverage point stands, framing did not
Automated flag that red misquoted the drawdown as +67.8%	Blue bench audit against red’s text and the data pack	Parse artifact (the checker grabbed the adjacent “+0.8% off low” figure); red’s -67.8% was faithful	RESOLVED — false alarm on our own tooling
“Weakness is concentrated; higher-income trade areas grew” (management)	Attempted independent restaurant-level check; our restaurant-data connector returned zero observations on all 5 panels (it requires street addresses we didn’t wire in)	Management-sourced only; our coverage failed , so this claim is neither confirmed nor refuted	UNVERIFIED — our gap
Company-owned stores outperforming is not a base-effect artifact	Blue bench recomputed co-owned stacks from the same releases	Harder bases, milder declines; gap is real. Small sample (51 stores)	CONFIRMED (light weight)
Franchisee capitulation underway	Q2-26 release closure counts	1 domestic / 3 international closures — capitulation has not started; damage is ahead of the supply response	CONFIRMED (bear-side)
Insider-filing cluster on 8/10	Filing review	Forms 3/4 are a new director’s initial filings (benign 8-K of 2026-08-06)	CONFIRMED benign
Next earnings ~2026-11-03	Data-feed derivation only; no company announcement found	Timing consistent with cadence but unconfirmed	UNVERIFIED

PROPOSED ENTRY BANDS

The courts say no entry. Position size now: **0% of book**. No resting orders. These are the reopen bands, taken from the benches’ own stated tests:

- **Fundamental reopen (price-independent):** Q3-26 domestic same-store sales of **-3.8% or better** — i.e., the two-year stack holds flat or improves versus Q2's -9.4 — at the ~November 3 print. This is the single number that would falsify the “deterioration is the trend” kill. Re-open the court on the print; do not pre-position.
- **Price reopen: ~\$74 or below.** Deck-level arithmetic from the benches' figures: a bear case of roughly -7% full-year comps with unit growth cut to ~10% puts forward EBITDA near \$250M; at a compressed ~12x on the enterprise, less \$1.08B net debt, over 27.25M shares ≈ \$70–75/share. At that price the market has already paid for the third cut and the growth downgrade — the benches' own definition of “priced for it.” A touch of this level triggers **re-review, never an automatic buy** (falling-knife rule).
- **Tape tripwire: below \$110.44** (52-week-low break, 0.8% away). Logs and forces a fresh look only — expected to trigger soon and confirms nothing by itself.
- **Franchisee-capitulation tripwire:** a meaningful jump in domestic closure counts in any quarterly release. Counterintuitively this is a *precondition* for the bottom, not a reason to buy — it marks the supply response beginning.
- **Exits/trim:** none (no position).
- **Catalyst date:** Q3-26 earnings ~**2026-11-03** — derived from a data feed, not company-confirmed; confirm from the company's press release when scheduled.

If any reopen triggers, sizing is set by the fresh court, not this deck.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 74.0 (deck-provisional: reopen band: ~12x compressed EV/EBITDA on bear-case ~\$250M embeds FY -7% comps + ~10% unit growth (dec)
- filing watch: 8-K, 10-Q until 2027-02-07 (deck-provisional: Q3-26 print or guide revision - reopen test is domestic SSS >= -3.8% (two-year stack flat-or-better vs)
- dated pack WING|2026-11-03: WING: Q3-26 earnings (feed-derived, not company-confirmed) (date confirmed=False)

What remains unverified

- **Management's geographic claim** that higher-income trade areas grew — no independent restaurant-level data obtained (our connector failure, both benches).
- **Franchisee unit economics** at \$1.893M average volumes — whether paybacks still clear franchisees' hurdle, and therefore whether 2027 pipeline commitments convert to openings.
- **Geographic and demographic mix of the 51 company-owned stores** — determines how much weight the encouraging co-owned trend deserves.
- **The earnings date** (~2026-11-03, feed-derived).

- **Industry-cohort benchmark** — whether Wingstop's traffic decline is company-specific or category-wide (Census series not pulled this session).

None of these, if resolved bullishly, overturns the arithmetic kill on its own; the stack deterioration and guide-floor math stand on the company's own press releases.

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One note outside the deck: per the blue bench, no ledger, edge-classification, or entry-plan writes were made — those are the adjudicator's artifacts once this proposed verdict is ruled on. The deck flags the armed-sensors gap explicitly so adjudication can arm the four gates in the fence.